



TECHNOLOGICAL UNIVERSITY OF THE PHILIPPINES

Ayala Blvd., Ermita, Manila

COLLEGE OF ENGINEERING

Electronics Engineering Department



**TerraScan: An Internet of Things (IoT)-Enabled Soil Intelligence and Analytics
Platform for Precision Agriculture**

Submitted By:

Castro, Justin Josh C.

Estrada, John Michael F.

Madera, Danica M.

Marcelino, Trisha Mari R.

Monilar, Allen Marx C.

Villalarvo, Daphne Grace M.

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CHAPTER I

INTRODUCTION

Background of the Study

The modern agricultural landscape in the Philippines faces a multi-dimensional crisis rooted in the systemic neglect of small-scale farmers. Despite the critical role agriculture plays in national food security and rural livelihoods, widespread reliance on manual labor and conventional, outdated equipment has led to stagnant productivity and high financial risk for local growers. This persistent lack of modernization has triggered a generational exodus from the agricultural sector; younger populations are increasingly losing interest in traditional farming, seeking out more stable, technology-driven careers instead.

At the core of successful crop cultivation is the precise management of soil fertility. Examining a soil profile provides valuable insight that supports long-term sustainable productivity. However, the current agricultural ecosystem suffers from a severe lack of accessible data. Both traditional rural farmers and emerging urban growers are frequently forced to rely on unpredictable visual cues, inefficient guesswork, or infrequent and highly expensive laboratory tests to assess soil health. This lack of precise, immediate information inevitably leads to resource inefficiency—such as over-watering, under-watering, or incorrect fertilizer application—which wastes water, vital nutrients, and capital while dramatically increasing the risk of crop loss.

To counteract these operational deficiencies, it is essential to monitor specific microclimate properties of the soil consistently, namely its temperature, pH level, moisture content, and ambient humidity. While early engineering interventions successfully utilized basic microcontrollers, such as the Arduino Mega, to interface with discrete sensors and output data to a localized LCD screen, the modern grower requires a far more connected, scalable, and remote approach.

To address the direct intersection of agricultural neglect and the lack of accessible data, the proponents envision the development of an accessible, Internet of Things (IoT) integrated device. By transitioning the system architecture to an advanced ESP32 microcontroller, the diagnostic tool leverages built-in WiFi capabilities to transmit collected environmental data to a secure cloud server. This innovation allows critical, real-time soil data to be displayed simultaneously on an on-site screen and a responsive remote web application interface.

This technology-driven solution replaces inefficient guesswork with data-driven precision, providing the "soil intelligence" necessary to optimize resource use. By bridging the innovation gap, this system empowers both marginalized rural farmers and modern urban plant enthusiasts to monitor their crops from anywhere, ensuring sustainable, high-yield cultivation. Furthermore, this initiative aligns with global sustainability targets; it advances SDG 8 by optimizing harvest outputs through modernized agriculture, and it upholds SDG 15 by utilizing precise nutrient management to combat soil depletion and land degradation.

Product Description

The **TerraScan Tech Platform** is an end-to-end internet-of-things (IoT) environmental diagnostics ecosystem. It bridges hardware sensor arrays with data visualization layers to provide actionable "soil intelligence". The architecture is deployed across three core market variants:

1. **TerraScan Handheld Diagnostic Tool:** A rugged, portable device powered by an embedded computing core, synchronizing soil acidity, moisture, and microclimate parameters instantly via an onboard LCD screen.
2. **TerraScan Smart Field Node (DIY Kit):** A modular, affordable package enabling tech-savvy farmers and hobbyists to deploy standalone smart arrays containing an ESP32 core, discrete soil probes, and wireless schematics.
3. **TerraScan Educational Testbed:** A specialized training model featuring exposed diagnostic pins and clear enclosures, engineered for academic laboratories to demonstrate data interpretation and sensor calibration.

Technological Foundation of the System

The system architecture bridges hardware environmental sensors with advanced data visualization layers. By transitioning from unpredictable manual observation to a fully integrated digital system, it provides the exact "soil intelligence" needed to monitor soil quality in real-time. The foundation relies on replacing isolated analog readings with an interconnected ecosystem that centralizes agricultural data.

Microcontroller-Based Control

The central processing unit utilizes an ESP32 microcontroller. This control module handles the rapid serialization of analog and digital signals from the environment. Crucially, its built-in WiFi capability enables the device to actively transmit collected data to a secure cloud server , allowing for remote, real-time monitoring from any internet-connected device.

Sensor Integration

The solution integrates a highly specific suite of sensors directly into the control unit. This array includes dedicated modules for detecting soil pH, moisture content, ambient humidity, and temperature. During deployment, the moisture and pH probes are placed 3 to 5 inches beneath the soil surface, while the DHT11 humidity sensor tracks the immediate atmospheric conditions above ground.

Embedded Control Logic

The embedded logic governs the synchronization of critical environmental data. It processes raw inputs through noise-filtering algorithms, converts them into actionable digital metrics, and outputs the information instantly to an onboard LCD screen for on-site users. Simultaneously, the logic manages the network handshakes required to push this synchronized data stream to the web application.

Suggested Enhancements

Future iterations of the system should scale beyond individual handheld units by implementing large-scale sensor network distributions across entire farms. The

physical deployment of these multi-node field arrays can be optimized using advanced spatial planning methodologies to guarantee complete, blind-spot-free wireless coverage across massive agricultural lots. Finally, future software updates could automatically correlate the collected parameters to determine the exact crop compatibility of the specific soil being tested.

Type of Organization

TerraScan Tech operates as an early-stage startup enterprise. It functions as a specialized hardware and software provider dedicated to addressing the intersection of agricultural neglect and the lack of accessible data.

Organizational Structure

The corporate structure is divided among a core executive management team:

- **CEO (Daphne Grace M. Villaralvo):** Provides overall leadership and strategic direction for the corporation.
- **COO (Allen Marx C. Monilar):** Monitors operational performance and addresses issues as they arise.
- **CTO (John Michael F. Estrada):** Oversees the corporation's technological direction and innovation.
- **CFO (Danica M. Madera):** Manages risk, record-keeping, and financial reporting.
- **CMO (Justin Josh C. Castro & Trisha Mari R. Marcelino):** Analyzes market trends and aligns marketing strategies with corporate goals.

Vision

To lead the Philippine agricultural revolution as the premier source of smart technology, equipping every farmer with the insights needed to thrive in a data-driven future.

Objective

To provide an accessible alternative to costly laboratory analysis by enabling immediate, on-site assessments of soil viability , thereby empowering growers to replace inefficient guesswork with data-driven precision.

Project Goals and Aims

To design, develop, and commercialize an affordable, IoT-enabled automatic soil profiling platform that empowers small-scale farmers and urban growers with real-time "soil intelligence." By replacing traditional agricultural guesswork with data-driven precision, the project aims to foster sustainable crop management, minimize resource waste, and maximize harvest yields.

Statement of Values

Precision: Prioritizing uncompromising accuracy in every data point collected.

Sustainability: Championing practices that safeguard the land for future generations.

Efficiency: Streamlining farming operations to maximize time and resource savings.

Statement of the Problem

The modern agricultural landscape faces a crisis rooted in the systemic neglect of small-scale farmers, leading to stagnant productivity and high financial risk. A

generational decline in farming interest is compounded by a lack of accessible data; practitioners rely heavily on guesswork or expensive lab tests. This lack of precision causes severe resource inefficiency, including incorrect fertilizer application and over-watering , which dramatically increases the risk of crop loss from undetected adverse soil conditions.

Objectives of the Study

To determine if the automatic soil profiling device is able to measure the pH level, moisture content, humidity, and temperature of the soil consistently across various field conditions.

Significance of the Study

The deployment provides a faster and more efficient way of measuring soil properties. It significantly saves the time, money, and effort of farmers and gardeners, ensuring they do not have to rely on a costly trial-and-error process during planting seasons

Scope and Delimitations

Scope: The platform utilizes specific IoT hardware (pH, moisture, and humidity sensors) to measure four core properties of the soil consistently. The initial environmental testing and validation parameters were focused on soil samples extracted from the garden of Parañaque Science High School.

Delimitations: The current iteration of the machine operates strictly as a diagnostic tool. It will not be able to determine the inherent geological type of the soil , nor does it

currently possess the software modeling required to determine if a certain soil profile is compatible with a specific crop

Definition of Terms

IoT (Internet of Things): A network of physical devices embedded with sensors, software, and connectivity, allowing them to collect and exchange data over the internet.

ESP32: A low-cost, low-power system-on-a-chip microcontroller with integrated Wi-Fi capability used to transmit data wirelessly to secure cloud servers.

Soil Profiling: The process of gathering critical environmental data to assess overall soil health and fertility.

Precision Agriculture: A farm management concept based on utilizing data-driven integrated devices to ensure sustainable, high-yield cultivation.

CHAPTER II

MARKET FEASIBILITY

Objectives of the Marketing Aspect

The marketing aspect evaluates the market potential, distribution mechanics, macro-environmental factors, and structural deployment options for the system. The distinct marketing objectives are established as follows:

1. To assess the market viability, geographic parameters, and growth opportunities for the deployment of an IoT-enabled soil analytics platform within rural and urban agricultural sectors.
2. To identify the optimal geographic distribution base and supply-chain logistics to support the prototyping, assembly, and distribution of portable diagnostic tools and modular sensor arrays.
3. To analyze macro-environmental conditions—including natural, economic, and technological factors—affecting the regional adoption of data-driven precision agriculture.
4. To establish a target consumer profile, product line strategy, and market positioning framework for the platform's multi-variant ecosystem.

Industry Analysis

a. Business Location and Deployment Analysis

Proximity to Target Market

The core deployment and operational distribution hub for TerraScan Tech is established in the City of Manila, Philippines, based at the Technological University of the Philippines. While situated within a dense metropolitan capital, this central location delivers a distinct dual market advantage that addresses both urban and rural agricultural ecosystems.

For the urban agriculture axis, the hub provides immediate access to an expanding demographic of city-based plant growers, community vertical farmers, and urban plant enthusiasts who operate within highly restricted environments. These users require immediate, easily accessible data to optimize localized cultivation in confined spaces, making a locally distributed IoT platform highly relevant.

Concurrently, this location establishes a strategic rural outreach axis because Manila functions as the primary logistical, institutional, and administrative center of the Philippines. Operating out of the capital city enables streamlined distribution pipelines through regional transit networks, allowing the enterprise to efficiently supply small-scale rural farmers in neighboring agricultural provinces who otherwise suffer from a systemic lack of soil diagnostic data.

Access to Resources

The system's technological architecture marks an advanced progression away from older configurations (such as standard Arduino microcontrollers coupled with localized LCD screens) toward the ESP32 microcontroller platform. Sourcing resources within Manila yields several direct supply-chain benefits: Microelectronics Procurement: Proximity to established electronic trading hubs within Manila (such as the specialized component markets in Raon, Quiapo, and Binondo) guarantees regular, bulk access to ESP32 processing modules, wireless integrated circuits, discrete soil probes (pH and moisture), and DHT11 atmospheric sensors. Skilled Technical Labor Pool: Situated directly within Manila's academic centers and University Belt (U-Belt), the enterprise taps into a local pool of electronics and computer engineering researchers, technicians, and engineering graduates capable of constructing noise-filtering algorithms, embedding control logic, and maintaining cloud networks.

Cost Considerations

Operating within the metropolitan hub optimizes initial capital velocity. Eliminating long-distance provincial shipping fees for raw electronic components reduces variable prototyping overhead and cash-to-order cycle times. This cost efficiency allows capital to be reinvested into precision sensor calibration, protective unit enclosures, and web application development. Furthermore, local deployment facilitates direct, rapid customer support and hardware adjustments for early adopters, fostering immediate brand validation without extensive regional travel costs.

Competitive Advantage

Traditional soil assessment options in the Philippines present an inefficient market landscape. Farmers must either rely on visual cues and patchwork guesswork, or purchase restrictive, delayed, and expensive laboratory tests. TerraScan Tech establishes a competitive advantage by offering an accessible, instantaneous, "end-to-end" digital solution. By merging low-cost, multi-variant hardware arrays with real-time cloud analytics and remote web access, the system bridges the innovation gap left unserved by imported standalone instrumentation.

Infrastructure and Accessibility

The distribution network is supported by Manila's central infrastructure. Widespread high-speed internet connectivity is crucial for maintaining the platform's core capability: executing network handshakes to push data streams from ESP32 units to the secure cloud server. Additionally, the centralized cargo systems and intra-city logistics hubs allow the enterprise to distribute physical DIY kits and pre-calibrated handheld devices across various provincial coordinates efficiently.

b. Opportunity and Threat Analysis

Opportunities

The shift toward sustainable farming methods creates a market opening. The platform directly addresses this trend by assisting users in optimizing resource consumption, which directly prevents over-watering, under-watering, and improper fertilizer application. Furthermore, the system aligns with global sustainability objectives, capitalizing on institutional grants or green tech investments by advancing UN

Sustainable Development Goal 8 (decent work and economic growth via maximized harvest outputs) and SDG 15 (life on land via mitigating soil depletion and degradation). Lastly, the division of the architecture into three distinct product models (Handheld, DIY Field Nodes, and Educational Testbeds) allows the startup to capture revenues simultaneously from distinct consumer verticals.

Threats

Potential threats to the project encompass generational sector migration, component instability, and user skepticism. Stagnant productivity and high financial risk have triggered a generational migration away from farming, with younger populations seeking alternative careers. TerraScan Tech must position its tool as a modernizing mechanism that transforms farming into a stable, data-driven career to rekindle youth interest. To alleviate component sourcing threats from global semiconductor volatility, the unit implements a diversified supplier strategy utilizing localized component importers. User skepticism from traditional rural growers who rely on historical visual cues will be countered through localized field trials and clear, on-site demonstrations of output yield optimization.

Environmental Analysis

a. Demographic Environment

The demographic landscape highlights an intersection of agricultural necessity and evolving population distributions. Traditional rural farming communities are aging and shrinking as younger demographics abandon manual labor. Concurrently, a tech-literate demographic is expanding within urban boundaries, driving interest in

smart home gardening, urban crop cultivation, and vertical farming. The platform bridges these shifts: it delivers simplified, immediate data visualization layers that reduce the technical barrier for older, manual farmers, while offering modular DIY configurations that appeal directly to younger, technology-driven green enthusiasts.

b. Economic Environment

Small-scale farmers in the Philippines operate under severe, persistent financial risk. Because they lack data, resource inefficiencies—such as wasted capital on excess water and misapplied fertilizer nutrients—can mean the difference between economic survival and financial collapse. Economically, the platform provides direct value by replacing guesswork with precision resource management. By minimizing wasted water, protecting soil nutrients, and reducing crop loss risks, the technology acts as an economic protective layer, driving predictable, high-yield cultivation that increases grower profit margins.

c. Natural Environment

Managing soil fertility dynamically is the cornerstone of agricultural sustainability. The natural environment introduces volatile variables, where microclimate conditions fluctuate rapidly. The platform monitors these characteristics by placing moisture and pH probes exactly 3 to 5 inches beneath the soil surface to scan the root zone, while concurrently deploying DHT11 humidity and temperature sensors to log atmospheric conditions immediately above ground. This continuous dual-zone assessment is required to defend local soils against long-term depletion, land degradation, and the visual imperceptibility of nutrient loss.

d. Technological Environment

The transition from legacy electronic frameworks to advanced wireless microcontrollers marks a significant leap in environmental analytics. Utilizing the ESP32 processing module allows the system to handle the rapid serialization of multi-sensor analog and digital environmental inputs simultaneously. The emergence of specialized noise-filtering algorithms ensures that raw soil sensor voltage readings are cleanly translated into stable, accurate digital metrics. These metrics are immediately rendered on an on-site LCD screen while being pushed through secure cloud server handshakes to remote web interfaces.

e. Political Environment

The operational direction of the platform is supported by national and global political frameworks that prioritize technology-driven agricultural modernization. Government agencies focused on food security and rural development encourage innovations that mitigate the systemic neglect of smallholders. Aligning the startup's research targets with international mandates like SDG 8 and SDG 15 enhances the company's eligibility for state-backed innovation grants, public agricultural university partnerships, and structural validation deployment fields.

f. Legal Environment

As a hardware and software data provider, the company operates under compliance boundaries concerning electronic safety, environmental impact, and data protection. The handheld devices and remote node arrays must meet rigorous electronic insulation and low-voltage operating standards to guarantee user safety during deployment in wet, real-world soil conditions. Furthermore, because the system logs real-time regional agricultural metrics and transmits them to a cloud server, the cloud infrastructure must enforce strict security protocols to safeguard user data integrity.

The Marketing Program

a. Proposed Target Market

TerraScan seeks to market The platform isolates three primary target consumer profiles based on its specific market variants:

- **Rural Smallholders and Micro-Farmers (Primary Market):** Marginalized rural agricultural growers currently reliant on conventional equipment and manual labor. They require a rugged, portable, and intuitive tool to optimize fertilizer and water applications instantly without complex computer configurations.
- **Tech-Savvy Hobbyists and Urban Growers (Secondary Market):** Independent urban plant enthusiasts, community garden organizers, and modern indoor vertical growers. This cohort possesses high technological literacy, actively builds modular electronics, and demands continuous, remote cloud-based tracking of their crop environments.

- **Academic Laboratories and Vocational Institutions (Institutional Market):**

High school and university agriculture departments, engineering classrooms, and vocational training facilities. They require controlled test environments to instruct students on sensor calibration, noise-filtering logic, and data interpretation.

The TerraScan Tech platform targets distinct consumer demographics, academic institutions, and modern agricultural sectors across both rural and urban ecosystems. The primary market segment focuses on marginalized rural smallholders and micro-farmers who remain heavily reliant on manual labor and conventional, outdated equipment. This cohort exhibits a critical need for accessible, rugged, and portable diagnostic tools that can eliminate guesswork and optimize resource application instantly without requiring advanced computer configurations. Moreover, the platform serves a secondary market segment of tech-savvy hobbyists, independent urban plant growers, and community vertical garden organizers. These early adopters are characterized by heightened technological literacy, an active interest in modular DIY electronics, and a demand for continuous, remote cloud-based tracking of confined cultivation spaces.

b. Product Strategy

The core product strategy relies on deploying an end-to-end internet-of-things environmental analytics ecosystem that transforms raw, disjointed sensor readings into centralized, actionable soil intelligence. The hardware-to-software architecture is structured into three specialized product configurations:

1. **TerraScan Handheld Diagnostic Tool:** A rugged, portable device powered by an embedded computing core, synchronizing soil acidity, moisture, and microclimate parameters instantly via an onboard LCD screen.
2. **TerraScan Smart Field Node (DIY Kit):** A modular, affordable package enabling tech-savvy farmers and hobbyists to deploy standalone smart arrays containing an ESP32 core, discrete soil probes, and wireless schematics.
3. **TerraScan Educational Testbed:** A specialized training model featuring exposed diagnostic pins and clear enclosures, engineered for academic laboratories to demonstrate data interpretation and sensor calibration.

Product Line Offerings

1. **TerraScan Handheld Diagnostic Tool:** A rugged, portable device powered by an embedded computing core, synchronizing soil acidity, moisture, and microclimate parameters instantly via an onboard LCD screen. It provides plug-and-play automated data tracking right out of the box, making it optimal for agricultural growers seeking seamless deployment without any assembly.
2. **TerraScan Smart Field Node (DIY Kit):** A modular, affordable package enabling tech-savvy farmers and electronics hobbyists to deploy standalone smart arrays. The kit includes an ESP32 microcontroller core, discrete soil probes (pH and moisture), a calibrated DHT11 atmospheric sensor probe, and full wireless connection schematics. It is ideal for independent growers and students who prefer customized electronic customization.

3. **TerraScan Educational Testbed:** A specialized training model featuring exposed diagnostic pins and clear enclosures, engineered specifically for academic laboratories and vocational classrooms. It features exposed test points and open header pins to demonstrate sensory data interpretation, embedding control logic, noise-filtering algorithms, and practical sensor calibration.

Future Technological Enhancements

The product roadmap outlines two critical system augmentations designed to expand operational scaling:

- **Multi-Node Field Arrays:** Transitioning individual units into distributed, large-scale wireless sensor networks spread seamlessly across massive agricultural lots. This physical layout will utilize advanced spatial planning methodologies to ensure comprehensive, blind-spot-free wireless transmission coverage.
- **Automated Crop Compatibility Software:** Updating the cloud application logic to automatically correlate collected multi-sensor soil properties (pH, moisture, temperature) to instantly output the exact, optimized crop compatibility matrix of the tested soil.

c. Price Strategy

The pricing framework aims to achieve a strategic equilibrium between internal electronic manufacturing costs and external consumer market conditions, ensuring accessibility while securing long-term financial sustainability.

- Internal Cost Architecture:** The projected production cost for each standard integrated hardware module is established at PHP 1,900 per unit. This encompasses the precise procurement of ESP32 microcontrollers, verified digital and analog sensors (pH, moisture, and DHT11 modules), connection wiring, and custom-molded protective enclosures. To attain a sustainable operational profit margin of 20%, the suggested retail price for the fully integrated handheld unit will be established between PHP 2,280 and PHP 2,300. This pricing model guarantees profitability while ensuring component durability meets strict user expectations.
- External Market Positioning:** Local market analysis indicates that imported precision standalone instrumentation and complex agricultural data monitoring systems are priced steeply between PHP 3,000 and PHP 8,000. By strategically pricing the systems and DIY kits below these margins, the brand highlights functional engineering value while aligning with the spending power of local growers and smallholders.
- Dynamic and Tiered Pricing Models:** The project will employ flexible dynamic pricing strategies to address seasonal demand spikes. Promotional discounts and special bundle offers may be implemented during active planting and cultivation seasons when resource monitoring becomes critical. These seasonal strategies will optimize sales and elevate market visibility.
- Psychological Pricing Application:** To enhance consumer psychological appeal, the project will utilize charm pricing techniques, setting kit and tool costs just below whole values. This creates an immediate perception of enhanced

budget alignment and cost-effectiveness, stimulating consumer interest. Bundle options—such as purchasing a DIY Smart Field Node kit alongside an upgraded replacement probe module at a reduced combined rate—will be used to address consumer demand for affordable technology.

d. Place Strategy

The distribution and logistical placement strategy will facilitate efficient component delivery from assembly centers directly to end consumers, hobbyists, and academic institutions via multiple distinct channels:

- **E-Commerce and Digital Retail Channels:** A primary digital store presence will be established on major online marketplaces like Shopee and Lazada, alongside a dedicated product website. This allows the enterprise to distribute physical DIY kits and pre-calibrated handheld diagnostic devices seamlessly across various provincial and municipal coordinates, overcoming geographical boundaries. Digital download nodes on the platform website will provide open-source firmware code setups, wiring schematics, and technical web application documentation instantly.
- **Retail Partnerships and Local Tech Hubs:** The project will forge active partnerships with localized electronics component importers, agricultural supply stores, and hardware dealers within Metro Manila to market the portable diagnostic tools directly to foot traffic.
- **Direct Sales and Institutional Placement:** Engaging directly in metropolitan technology symposiums, science fairs, maker exhibitions, and regional agricultural community events. Since electronics consumers and academic

buyers discover new technological tools in these settings, direct deployment at tech and agricultural events will facilitate immediate sales and build strong community relations.

e. Promotions Strategy

The marketing plan delineates a precise, technical, and data-driven methodology for effectively penetrating the local consumer, agricultural, and educational markets. The promotion strategy utilizes a cohesive mix of traditional demonstrations and digital media channels to showcase the utility of data-driven precision agriculture:

- **Target Targeted Digital Advertising:** A comprehensive social media marketing campaign will serve as a central promotional pillar, utilizing platforms like YouTube, Facebook, and Instagram to post functional video demonstrations and installation guides of the system in operation. Paid advertising campaigns will target specific consumer segments interested in microcontroller programming, smart farming, sustainable agriculture, and DIY electronics.
- **Public Relations and Community Outreach:** To build credibility, the enterprise will implement proactive public relations campaigns, including technical briefings submitted to regional technology blogs, agricultural newsletters, and academic engineering publications. Partnering with local farming influencers and engineering hobbyists will enhance brand trust, as they can showcase real-world data logging, calibration transparency, and cloud connectivity.
- **Sales Promotions and Trial Incentives:** To stimulate early adoption, the project will execute seasonal pre-order discounts during major agricultural

cycles, special educational discounts for engineering and agricultural students, and bundle deals for academic institutions purchasing multiple classroom testbeds. A structured user-referral program will reward existing customers with replacement sensor probes or firmware upgrades when they introduce new buyers to the system.

- **Personal Selling and Live Demonstrations:** Direct engagement with institutional buyers at academic conferences, school board meetings, and farming cooperatives will create opportunities for highly focused personal selling. Technical staff will perform live calibration demonstrations, showing exactly how raw soil sensor voltage readings are cleanly translated into stable digital metrics as moisture and acidity parameters fluctuate in real time. This direct interaction bridges the gap for non-technical growers and builds institutional confidence.

Summary and Implementation Roadmap

Objective 1: Strategy for Local Market Penetration

The project focuses heavily on identifying and engaging consumer demographics, rural smallholders, urban cooperatives, and academic institutions that have a clear, documented need for real-time soil diagnostics and resource optimization. The penetration strategy will encompass the following structural steps:

1. **Comprehensive Competitive Analysis:** Perform a continuous evaluation of traditional soil laboratory testing constraints and imported standalone tools to

map market gaps. This analysis allows TerraScan Tech to highlight its unique localized serviceability, low cost, and simultaneous cloud-and-on-site visualization features over generic options.

2. **Strategic Positioning Execution:** Explicitly position the TerraScan ecosystem as the premier provider of accessible internet-of-things environmental analytics by constantly championing its core unique engineering propositions: real-time sensory tracking, embedded noise-filtering control logic, and secure, remote cloud integration.

CHAPTER III

THE MANAGEMENT ASPECT

The management component of this feasibility study assesses the organizational framework, leadership competencies, and operational strategies necessary for the successful establishment and ongoing growth of the TerraScan Tech project. To ensure a systematic progression from prototype development to field rollout across local farms, the internal structure must align technical engineering development with strict accountability, environmental reliability, and commercial feasibility.

Objectives of the Management Aspect

1. **Assess the qualifications, experience, and responsibilities** of the key engineering and management team to guarantee effective technical decision-making and strategic planning.
2. **Create a coherent and efficient internal framework** that facilitates seamless development operations, cross-departmental communication, and long-term project scalability.
3. **Formulate detailed strategies** for both pre-operational and operational phases to guarantee systematic preparedness, optimal hardware-software resource allocation, and prompt attainment of agricultural deployment goals.
4. **Determine the most appropriate type of business ownership** that corresponds with the system's deployment goals, localized manufacturing necessities, and legal/safety obligations.

5. **Develop a comprehensive timeline** delineating essential engineering milestones and activities from initial component assembly to full operational capacity.

Pre-Operating Period

The pre-operating phase includes all engineering design configurations, testing procedures, and logistical preparations conducted prior to the official deployment of the TerraScan Tech ecosystem. This phase is essential for establishing a robust hardware foundation, guaranteeing that all system components (ESP32 controllers and sensor arrays) are structurally verified for an optimized launch.

Key Activities:

- **System and Operations Planning:** Complete the final technical architecture plan, integrating comprehensive agricultural market analysis, field deployment frameworks, and strategic deployment targets. This includes establishing exact product line variants (Integrated Models vs. DIY Kits) and component pricing levels.
- **Securing Development Funding:** Acquire initial development capital through university research grants, agricultural tech incubators, or local technology investments to finance specialized component **procurement (soil probes, microcontrollers) and workspace expenses.**
- **Legal and Safety Compliance Formalities:** Register the enterprise structure with appropriate national and local regulatory agencies. Acquire the requisite

municipal clearances and coordinate with agricultural or environmental bodies to ensure field devices meet baseline ecological safety standards.

- **Laboratory and Assembly Setup:** Secure a dedicated engineering assembly and testing workspace featuring adequate square footage for safe soldering, hardware configuration, component inventory storage, and administrative work. Equip the workspace with high-precision calibration tools, pH buffer solutions, multimeters, and soldering stations.
- **Supplier and Component Agreements:** Forge stable logistical alliances with verified electronics component distributors (e.g., in Quiapo/Raon) and local hardware suppliers to guarantee a consistent supply of ESP32 microcontrollers, moisture sensors, and DHT11 digital sensors.
- **Recruitment and Technical Training:** Recruit proficient electronics technicians and assembly specialists. Deliver training seminars regarding embedded systems programming, sensor calibration (pH and moisture baseline setting), and strict diagnostic testing for field readiness.
- **Marketing and Branding Development:** Establish the TerraScan Tech brand identity, encompassing the system logo, custom-molded waterproof component packaging, and technical promotional materials. Initiate targeted online marketing campaigns to build early brand awareness among urban growers and small-scale farmers.
- **Product Prototyping and Calibration:** Finalize the cloud-connected IoT algorithms and execute robust engineering prototypes to verify systemic data communication to the web interface.

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- **Laboratory and Assembly Setup:** Secure a dedicated engineering assembly and testing workspace featuring adequate square footage for safe soldering, hardware configuration, component inventory storage, and administrative work. Equip the workspace with high-precision calibration tools, pH buffer solutions, multimeters, and soldering stations.
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Project Originators / Promoters / Managers

TerraScan Tech is directed by a highly focused and specialized management team dedicated to achieving maximum operational efficiency and technical excellence in precision agriculture. The team's distinct distribution of technical and administrative expertise guarantees thorough supervision across all development facets.

Project Schedule

A detailed project schedule outlines the precise timeline for key activities from the initial pre-operating period to full-scale marketplace operations.

Pre-Operating Period (Months 1–6)

Activity	Timeline	Responsible Party
Finalize Business & Engineering Plan	Month 1	CEO
Secure Initial Development Funding	Months 1–2	CFO
Complete Legal & Safety Registrations	Months 1–2	CEO & CFO
Set Up Assembly Facility & Testing Lab	Months 2–3	CTO & Deployment Lead
Establish Component Supplier Agreements	Months 2–4	CTO & Deployment Lead
Recruit and Train Assembly Personnel	Months 3–5	CTO & Deployment Lead
Develop Brand Identity & Product Packaging	Months 3–4	CMO
Launch Initial Marketing & Tech Awareness Campaign	Months 4–6	CMO
Finalize IoT Firmware Logic & Web App Design	Months 4–5	CTO
Conduct Laboratory Prototype Stress Testing	Months 5–6	CTO & Deployment Lead

Operating Period (Months 7 and Beyond)

Activity	Timeline	Responsible Party
Official Business Launch & Product Rollout	Month 7	CEO & All Managers
Full-Scale System Production & Kit Packaging Begins	Month 7	CTO & Deployment Lead
Implement Rigorous Quality Control Systems	Month 7	Deployment Lead
Expand Targeted Marketing & Digital Outreach Efforts	Month 7 onward	CMO
Establish Institutional & Retail Partnerships	Month 8 onward	CMO
Continuously Monitor Financial & Cost Performance	Ongoing	CFO
Scale Assembly Throughput Capacity	Year 2 onwards	CTO & Deployment Lead
Introduce New Climatic Product Lines (Exhaust/Humidifiers)	Year 2 onwards	CMO & CTO
Expand to National Online Marketplaces	Year 2 onwards	CMO

Key Project Milestones:

- **Month 1:** Comprehensive engineering roadmap finalized and initial research/development funding secured.
- **Month 3:** Technical assembly laboratory fully configured and specialized technician personnel recruited.
- **Month 5:** Firmware source code finalized and rigorous prototype environment testing completed.

- **Month 7:** Official system commercial launch, institutional deployments begin, and full-scale kit packaging commences.
- **Year 2:** Scaled expansion of localized manufacturing throughput and introduction of complementary automated climatic lines.

Operating Period

The operating phase marks the shift from engineering and design into active commercial rollout and market growth. This stage focuses on launching marketing campaigns, overseeing daily hardware manufacturing timelines, scaling up production, and achieving long-term sustainability.

Key Activities:

1. **Production and Microelectronics Management:** Initiate the mass manufacturing of the TerraScan Smart Field Nodes and DIY Sensor Kits, ensuring absolute adherence to weather-resistance protocols, electrical safety, and streamlined operations. Implement strict inventory tracking for ESP32 chips, pH/moisture probes, and power components to prevent material shortages or excess stock.
2. **Sales, Logistics, and Distribution:** Build partnerships with farming cooperatives, local hardware suppliers, and agricultural institutions to widely distribute the soil profiling devices throughout Manila and nearby regions. Keep a highly functional e-commerce site to manage online sales, expanding access to urban gardeners and technology enthusiasts outside the immediate vicinity.

Actively participate in local agricultural tech events, maker expos, and farming conventions to boost brand recognition and connect with the target audience.

3. **Marketing and Promotion Continuity:** Launch focused advertising campaigns across video-sharing sites, social media platforms, and local digital networks to maintain a strong brand presence. Foster long-term user relationships by providing reliable technical assistance, regular firmware upgrades, and customer reward programs. Share the company's story by emphasizing local engineering talent, data-driven farming, soil fertility improvement, and eco-friendly practices to establish a deep connection with the community.
4. **Financial Control and Risk Management:** Regularly monitor income rates and fluctuations in material costs to ensure financial targets are being met. Control daily operating expenses through efficient resource allocation, bulk purchasing of parts, and proactive cost-saving measures. Keep financial records transparent and consistently review balance sheets and income statements to gauge economic stability.
5. **Quality Assurance and Calibration:** Continually review and improve lab testing protocols to maintain exceptional data transmission accuracy and robust environmental resistance. Collect and analyze user feedback from active field sites to identify software glitches, fine-tune pH and moisture sensor calibrations, and address any physical hardware issues.

6. **Operational Scaling Strategies:** Streamline the manufacturing process to lower labor costs and boost weekly production numbers without compromising device durability. Focus on utilizing premium waterproof components and low-power electrical designs (like solar attachments) to underscore a commitment to user safety and environmental care. Plan for future business expansion by acquiring automated diagnostic equipment and growing the technical support staff in tandem with increasing customer demand.

Form of Business Ownership

Production and Microelectronics Management: Initiate the mass manufacturing of the TerraScan Smart Field Nodes and DIY Sensor Kits, ensuring absolute adherence to weather-resistance protocols, electrical safety, and streamlined operations. Implement strict inventory tracking for ESP32 chips, pH/moisture probes, and power components to prevent material shortages or excess stock.

Sales, Logistics, and Distribution: Build partnerships with farming cooperatives, local hardware suppliers, and agricultural institutions to widely distribute the soil profiling devices throughout Manila and nearby regions. Keep a highly functional e-commerce site to manage online sales, expanding access to urban gardeners and technology enthusiasts outside the immediate vicinity. Actively participate in local agricultural tech events, maker expos, and farming conventions to boost brand recognition and connect with the target audience.

Marketing and Promotion Continuity: Launch focused advertising campaigns across video-sharing sites, social media platforms, and local digital networks to maintain a

strong brand presence. Foster long-term user relationships by providing reliable technical assistance, regular firmware upgrades, and customer reward programs. Share the company's story by emphasizing local engineering talent, data-driven farming, soil fertility improvement, and eco-friendly practices to establish a deep connection with the community.

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Quality Assurance and Calibration: Continually review and improve lab testing protocols to maintain exceptional data transmission accuracy and robust environmental resistance. Collect and analyze user feedback from active field sites to identify software glitches, fine-tune pH and moisture sensor calibrations, and address any physical hardware issues.

Operational Scaling Strategies: Streamline the manufacturing process to lower labor costs and boost weekly production numbers without compromising device durability. Focus on utilizing premium waterproof components and low-power electrical designs (like solar attachments) to underscore a commitment to user safety and environmental care. Plan for future business expansion by acquiring automated diagnostic equipment and growing the technical support staff in tandem with increasing customer demand.

Rationale for the LLC Structure:

- **Limited Liability Protection:** The LLC structure protects the personal assets of the engineering originators, as the business liability is limited to the assets of the company itself. Since the project handles consumer electronics and line-voltage appliances, this structural insulation minimizes personal financial risk and provides security to the team.
- **Operational Flexibility:** An LLC combines the operational flexibility of a partnership with the protective liability of a corporation, allowing the management team to modify its internal governance structure to meet strategic milestones without navigating the rigid corporate formalities required by traditional corporations.
- **Pass-Through Taxation:** The venture benefits from pass-through taxation, meaning the company's profits and losses are passed directly to the owners' individual tax returns, completely avoiding the double taxation layers often faced by standard corporations.
- **Credibility and Professionalism:** Operating as a formal LLC enhances the brand's technical credibility with corporate retailers, academic procurement boards, components distributors, and potential venture capital investors by presenting a verified business structure that aligns with industry standards.
- **Ease of Formation and Management:** An LLC is far easier to set up and manage than a standard corporation, requiring less bureaucratic paperwork and administrative oversight while still providing a solid legal foundation for growth.

Internal Organization

An organized internal structure is crucial for the TerraScan Tech project to facilitate efficient hardware development, transparent cross-departmental communication, and proficient resource management.

Detailed Roles and Responsibilities:

Chief Executive Officer (CEO) – Daphne Grace M. Villaralvo

- **Role:** Directs the project with an overarching visionary perspective, focusing heavily on long-term strategic planning, corporate development, institutional networking, and comprehensive leadership.
- **Responsibilities:** Drives macro-level strategic decision-making, manages relations with agricultural cooperatives, leads community outreach programs to farmers, and supervises all administrative operations to guarantee total alignment with core project goals.

Chief Technology Officer (CTO) – John Michael F. Estrada

- **Role:** Directs all technical development operations, hardware-software integration architectures, ESP32 firmware programming sequences, and core system designs.
- **Responsibilities:** Oversees circuit schematic generation, IoT wireless telemetry routing, web application containerization, sensor calibration algorithms, and interdepartmental technical coordination.

Chief Operating Officer (COO) – Allen Marx C. Monilar

- **Role:** Directs the field testing, quality control, assembly workflows, and localized site deployment of the integrated diagnostic tools and retrofit kits.
- **Responsibilities:** Schedules system stress testing, manages real-time deployment support, establishes quality assurance frameworks (such as dielectric leakage verification in wet soil), and manages daily assembly line schedules.

Chief Financial Officers (CFO) – Danica M. Madera

- **Role:** Supervises the fiscal well-being of the organization, administering capital budgets, resource allocations, financial forecasting, and strict cost-benefit analyses.
- **Responsibilities:** Leads comprehensive financial reporting, direct budgeting, component supply-chain cost management (Bill of Materials optimization), financial risk mitigation, and obtaining funding for market expansion.

Chief Marketing Officer (CMO) – Justin Josh C. Castro & Trisha Mari R. Marcelino

- **Role:** Tasked with formulating and executing data-driven marketing programs to build brand recognition, elevate market positioning, and stimulate sales velocity among the target demographic.
- **Responsibilities:** Directs localized promotional campaigns, oversees social media administration, coordinates educational field demonstrations for farmers,

conducts real-time market trends analysis, and manages product presentation formats.

Support Departments & Specialized Teams:

1. **Sales and Distribution Team:** Addressing incoming institutional purchase inquiries, processing product order backlogs, supervising e-commerce distribution channels, and ensuring prompt delivery of integrated devices to clients and retailers.
2. **Customer Service and Tech Support Team:** Responding to user inquiries, resolving installation or operation issues, delivering detailed product hardware information, and overseeing returns or module exchanges.
3. **Human Resources (HR):** Managing recruitment, vetting and onboarding of new assembly personnel, coordinating employee relations, and ensuring strict compliance with labor safety regulations.
4. **Research and Development (R&D) Unit:** Innovating new hardware features, writing firmware updates, evaluating current circuit designs, and investigating highly resilient, dust-resistant components and sustainable casing materials.
5. **IT and E-Commerce Infrastructure Unit:** Overseeing online retail platforms, website hosting, and open-source code download repositories, ensuring data protection compliance, and facilitating digital marketing operations.

Communication Flow:

- **Top-Down Communication:** Strategic engineering objectives, corporate updates, and electrical safety policies are conveyed from the CEO and senior management down to support departments.
- **Horizontal Communication:** Active interdepartmental collaboration is promoted between the CTO and Deployment teams to stimulate rapid bug resolution and address operational challenges.
- **Feedback Mechanisms:** Regular weekly meetings and diagnostic reviews are conducted to facilitate ongoing development and resolve any structural issues.

Decision-Making Process:

- **Strategic Decisions:** Significant product scope modifications or large capital investments are made collectively by the senior management team, guaranteeing diverse perspectives are included.
- **Daily Operational Decisions:** Basic troubleshooting, assembly line routing, and localized promotional adjustments are assigned to respective managers, facilitating prompt issue resolution.

Scalability and Adaptability:

- The internal organizational framework is crafted to be highly adaptable, facilitating seamless expansion as the enterprise enters new regional market sectors.

- As distribution volume grows, supplementary technical roles (such as dedicated firmware testers or regional logistics coordinators) may be introduced to facilitate enhanced market penetration.

Summary of Management Evaluations

1. What methods will be employed to evaluate the qualifications of the management team?

- The management team's qualifications will be evaluated through their proven technical credentials, academic background in electronics engineering, and portfolios outlining their history in embedded systems development (e.g., prior experience with Arduino/ESP32, CAD modeling, and control logic).

2. What measures will be implemented to establish a cohesive internal framework?

- A comprehensive organizational chart explicitly delineates roles. Automated performance metrics and regular weekly technical check-ins will streamline communication between the hardware engineering team and the commercial distribution team to ensure rapid bug resolution and market adaptability.

3. What strategies will be developed for the pre-operational and operational phases?

- Pre-operational strategies focus on laboratory calibration, securing component supply chains in Manila, and finalizing IoT architecture. Operational strategies

will shift toward optimizing facility throughput, scaling agricultural cooperative partnerships, and executing rigorous field quality assurance to guarantee accurate soil data.

4. Which form of business ownership is deemed most suitable?

- A Limited Liability Company (LLC) is selected as the optimal structure, offering essential personal asset liability protection, high operational governance flexibility, and advantageous pass-through tax treatment suitable for a technology startup.

5. What process will be employed to create a detailed timeline?

- A detailed timeline was constructed by segmenting the development lifecycle into distinct critical phases (Months 1-6 for pre-operations; Months 7+ for commercialization). A project management tool will be used to visually map this roadmap, facilitating real-time progress tracking and flexible scheduling adjustments.

CHAPTER IV

THE OPERATIONAL ASPECT

The Operational Aspect examines the physical production structures, technical hardware setups, assembly methods, and system wide deployment processes needed to develop and deliver TerraScan: An Internet of Things (IoT)-Enabled Soil Intelligence and Analytics Platform for Precision Agriculture and its modular components in Manila.

By defining exact hardware requirements, securing dependable supply sources, streamlining modular assembly workflows, and implementing strict electrical quality control measures, this section ensures the engineering design moves smoothly into a reliable, production-ready technology.

Objectives of the Operational Aspect:

- 1. Establish clear and detailed physical and technical specifications** for the TerraScan Tech Platform and its modular variations (Handheld Tool, DIY Kit, Educational Testbed) to ensure consistency, component reliability, and field deployability.
- 2. Determine the procurement sources, quality verification standards, and sourcing stability** of all microelectronic and sensor components (ESP32, soil pH, moisture, and DHT11) necessary for manufacturing.
- 3. Outline the step-by-step assembly, firmware integration, and sensor calibration procedures** to ensure maximum efficiency and quality assurance for the real-time data collection system.

4. **Identify the physical infrastructure, facility layout, and workstation designs** required for electronics assembly, precise sensor calibration, and administrative operations.
5. **Enlist and evaluate the specialized laboratory tools, testing machinery, and software equipment** required for component diagnostics and verifying the embedded control logic.
6. **Identify the technical personnel requirements**, enumerating the necessary assembly technicians, calibration experts, and operations support functions for an IoT platform.
7. **Evaluate the optimal manufacturing site within Manila** based on logistical access, cost factors, and proximity to electronics supply network hubs.Citation 1
8. **Conduct unit cost optimization and break-even point analysis** to validate the financial feasibility, pricing integrity, and commercial operational model of the TerraScan Tech Platform.

4.1 Product Specifications

The TerraScan Tech Platform is an end-to-end Internet of Things (IoT) environmental diagnostics ecosystem, designed to provide actionable "soil intelligence". The platform's architecture is deployed across three distinct hardware configurations to serve marginalized rural farmers, urban growers, and academic institutions.

4.1.1 TerraScan Handheld Diagnostic Tool (Fully Integrated Model)

This is a rugged, portable device that provides a plug-and-play solution for agricultural growers seeking seamless deployment without assembly.

- **Core Function:** A rugged, portable device powered by an embedded computing core.
- **Data Synchronization:** Synchronizes soil acidity, moisture, and microclimate parameters instantly via an onboard LCD screen.
- **Deployment:** Optimal for agricultural growers seeking automated data tracking right out of the box.

4.1.2 TerraScan Smart Field Node

A modular, affordable package designed for tech-savvy farmers and hobbyists to deploy standalone smart arrays.

- **Core Components:** Includes an ESP32 microcontroller core, discrete soil probes (pH and moisture), and a calibrated DHT11 atmospheric sensor probe.
- **Connectivity:** Features full wireless connection schematics, leveraging the ESP32's built-in WiFi capabilities to transmit collected environmental data to a secure cloud server.
- **Target User:** Ideal for independent growers and students who prefer customized electronic customization.

4.1.3 TerraScan Educational Testbed

A specialized training model engineered for academic laboratories and vocational classrooms to study real-time control logic and sensor calibration.

- **Structural Frame:** Features clear enclosures, designed for academic laboratories to demonstrate data interpretation and sensor calibration.
- **Diagnostic Features:** Includes exposed test points, open header pins, and clear enclosures to demonstrate sensory data interpretation, embedding control logic, noise-filtering algorithms, and practical sensor calibration.
- **Target User:** High school and university agriculture departments, engineering classrooms, and vocational training facilities.

4.2 Component and Raw Material Sourcing

The manufacturing of the TerraScan relies on two primary material classes: standard electro-mechanical appliance foundations and digital microelectronic components. Maintaining component reliability, voltage compliance, and sourcing continuity is critical for user safety.

Component / Material	Technical Specifications	Primary Sourcing Origin
Microcontroller Board	ESP 32	Quiapo Electronics Hub / Manila Distributors
Digital Temperature & Humidity Sensor	DHT11 Sensor, 0°C–50°C temperature range	Specialized Semiconductor Importers Manila

LCD	I2c lcd	Local Appliance Manufacturers / Manila Bulk Wholesalers
Casing & Enclosures	Pre-molded shells or acrylic plexiglass sheets.	Binondo Plastic Fabricators / Local Extruders
Wiring & Interconnects	Jumper Wires	Local Electrical Supply Wholesalers

4.3 The Assembly and Production Process

The manufacturing flow follows a precise, modular electronics assembly framework designed for low-voltage IoT environmental diagnostic devices. It bridges digital hardware configuration with specific sensor integration and networking protocols, optimized for the TerraScan product variants (Handheld Tool, DIY Kit, Educational Testbed).

Phase 1: Microcontroller Preparation and ProgrammingCitation 1

Firmware Flashing: ESP32 microcontrollers are connected to automated flashing jigs where the core embedded control logic for reading multi-sensor inputs and executing cloud handshakes is uploaded.

Pre-Testing: The programmed chips undergo initial boot sequence testing, ensuring the bootloader responds within standard timing constraints and the built-in WiFi module is functional for network authentication.

Phase 2: Sensor Array Integration and Soldering

Component Placement: ESP32 modules, power conditioning circuits, and LCD (I2C) screens are populated and soldered onto the central printed circuit board (PCB) or breadboard interface.

Sensory Wiring: Dedicated leads for the soil pH and moisture probes are wired, along with the digital connections for the DHT11 temperature and humidity sensor. All wiring is verified for low-voltage signal integrity.

Phase 3: Enclosure and Hardware Integration

Enclosure Preparation: Pre-molded protective shells (for the Handheld Tool) or acrylic plexiglass sheets (for the Educational Testbed) are prepared and cleaned.

Module Mounting: The completed circuit board and LCD screen are secured inside the protective casing, ensuring all external connectors (for probes or power) align with the enclosure ports.

Phase 4: Sensor Calibration and Stabilization

Initial Calibration: The soil pH and moisture probes are subjected to controlled reference solutions to establish baseline readings. These raw voltage readings are logged to program the system's noise-filtering algorithms, translating them into stable, accurate digital metrics.

Environmental Sensor Validation: The DHT11 sensor probe is checked against laboratory-grade environmental monitoring tools to confirm temperature and humidity accuracy within its 0°C–50°C range.

Phase 5: IoT Network Handshake Validation

Connectivity Test: The completed unit is powered on to verify its WiFi capabilities and execute network handshakes to the secure cloud server.

Data Stream Verification: Technicians monitor the remote web application interface to ensure the data stream from the ESP32 is successfully transmitted, synchronized, and displayed in real-time, confirming end-to-end "soil intelligence" functionality.

Phase 6: Final Quality Control and Packaging

Operational Validation: The handheld or node unit is subjected to a final quality control check, verifying that the onboard LCD screen displays data accurately and the exposed probes are securely mounted.

Kit Assembly: For the Smart Field Node (DIY Kit), all components (ESP32, discrete soil probes, DHT11, schematics) are packaged with technical instruction manuals for distribution.

4.4 Quality Control, Inspection, and Testing Framework

To ensure field reliability, accuracy of "soil intelligence" telemetry, and safe operations under real-world, high-moisture agricultural conditions, a multi-tiered Quality Control (QC), Inspection, and Testing Framework is established. The execution of this framework falls under the accountability of the Deployment Lead and specialized calibration technicians.

4.4.1 Component-Level and Incoming Materials Inspection

Before any assembly begins, raw microelectronic components sourced from local semiconductor distributors must undergo a rigorous receiving inspection to mitigate global component supply chain anomalies:

ESP32 Microcontroller Boards: Each microcontroller is mounted to a test jig to verify default bootloader response intervals, voltage stabilization across development pins, and nominal current draw under idle states.

Sensor Probes Compliance: Soil pH and moisture sensors undergo physical terminal checks to identify corrosion or structural micro-fractures. DHT11 sensors are screened for pin integrity.

Enclosures and Mechanical Seals: Pre-molded shells and acrylic panels from plastic fabricators are inspected for dimensional accuracy and structural continuity to fulfill low-voltage safety insulation thresholds in wet soil environments.

4.4.2 In-Circuit Inspection (ICI) during Assembly

During Phase 2 (Sensor Array Integration and Soldering) and Phase 3 (Mechanical Enclosure and Hardware Finalization), structural inspections are performed at the dedicated laboratory workstations:

Solder Joint Inspection: Technicians visually inspect printed circuit boards (PCBs) or breadboard interfaces to ensure no solder bridges, cold joints, or unintended short circuits exist among the ESP32 pins, power tracks, and I2C LCD screens.

Voltage Isolation & Safety Checks: Utilizing high-precision digital multimeters, test points are monitored to confirm the system maintains steady power routing without voltage drops across the sensor arrays.

4.4.3 Sensory Calibration Framework

Because precision agriculture relies strictly on stable, uncompromised metrics to replace trial-and-error farming guesswork, a mandatory sensor calibration protocol is executed before any unit leaves the assembly floor:

Soil pH Probe Calibration: Probes are calibrated using standardized chemical buffers (pH 4.0, 7.0, and 10.0 solutions). The noise-filtering software logic parameters are mathematically updated to match sensor voltage readings cleanly to stable, exact digital metrics.

Soil Moisture Probes Zeroing: Probes are tested in absolute dry sand (0% target baseline reference value) and water-saturated soil (100% target reference value) to adjust internal threshold mapping configurations within the embedded logic.

DHT11 Atmospheric Sensor Validation: Ambient readings are verified against a calibrated reference laboratory thermometer to guarantee data integrity before the enclosure is locked.

4.4.4 Network Integration and Network Handshake Testing

The platform's primary value relies on its interconnected telemetry capabilities. Therefore, final testing exercises the ESP32 wireless transceiver systems:

Wi-Fi Authentication Testing: Microcontrollers must achieve stable network authentication and connection sequences within varying signal strength environments.

Cloud Data Transmission Telemetry: Automated data packets containing serialized soil acidity, moisture, and microclimate parameters are transmitted to the secure cloud server. The software confirms that real-time streams seamlessly render on the remote web application layout while mirroring the data onto the onboard LCD display without synchronization lag.

4.4.5 Variant-Specific Testing Frameworks

Because the platform features three target lines, individual quality check configurations are adjusted by product line:

1.TerraScan Handheld Diagnostic Tool: Must undergo physical stress and impact validation, drop testing, and toggle switch checkouts to ensure plug-and-play durability in field deployments by rural micro-farmers.

2.TerraScan Smart Field Node (DIY Kit): Packed sensor breakout modules, pre-flashed chips, and jumpers are systematically logged against a master checklist. Wiring schematics and firmware setups are audited to ensure straightforward customization by tech-savvy urban hobbyists.

3.TerraScan Educational Testbed: Undergoes physical verification of open header pins, clear visual enclosures, and exposed diagnostic test points to confirm academic laboratories can safely measure circuit signals during student training sessions.

4.4.6 Defect Isolation and R&D Feedback Loops

Any module or sensor assembly that registers values outside the acceptable precision thresholds during testing is immediately isolated and routed back to the Research and Development (R&D) Unit. The R&D team runs deep diagnostics on code repositories and embedded algorithms to resolve software bugs or hardware inconsistencies, driving continuous performance enhancements for the local market.

4.5 Production Schedule and Throughput Capacity

To satisfy the verified market metrics established for both metropolitan urban growers and regional farming cooperatives , the assembly facility operates on a standard calendar framework of 250 working days per fiscal year (50 weeks × 5 days per week, excluding regional holidays).

- **Daily Target Capacity:** The facility is engineered to output 40 completed units per day across all target lines. This is achieved using 5 concurrent technician benches operating a single standard 8-hour shift.
- **Annual Maximum Capacity:** At 100% operational throughput efficiency, the plant maintains a structural ceiling of 10,000 units per fiscal year.
- **Variant Allotment Matrix:** Production is divided dynamically to accommodate market demand fractions: 50% allocated to the TerraScan Handheld Diagnostic Tool (20 units/day), 35% allocated to the Smart Field Node DIY Kits (14 units/day), and 15% reserved for Institutional Educational Testbeds (6 units/day).

4.6 Machinery, Equipment, and Software Requirements

The assembly, validation, and diagnostic operations of the laboratory hub require specialized industrial machinery, testing apparatuses, and software configurations:

4.6.1 Hardware Equipment & Laboratory Tools

- **Digital Oscilloscopes & Signal Generators:** Used by technical staff to inspect the PWM (Pulse Width Modulation) outputs and debug data lines from the ESP32 microcontroller, ensuring clean data packet generation without wave deformation.
- **Precision Temperature & Humidity Calibration Chambers:** A micro-environmental closed chamber used to simulate shifting atmospheric parameters, ensuring the incoming DHT11 sensors operate within calibrated margins.
- **Chemical Buffer Station:** Comprises multi-tiered beaker systems holding standard reference solutions (pH 4.0, 7.0, and 10.0) used exclusively to calibrate analog soil pH probe breakout circuits before packaging.
- **Temperature-Controlled Soldering Stations:** ESD-safe soldering iron bays with active fume extractors where technicians securely mount interconnects and I2C LCD modules onto the main controller boards.
- **Digital Multimeters (DMM):** Benched units with high accuracy tracking ($\pm 0.05\%$) to verify current draw, power rail isolation, and pinpoint short circuits along the low-voltage power lines.

4.6.2 Software Equipment & Development Ecosystems

KiCAD PCB Design Suite: Used to compile circuit schematics and layout the internal traces connecting the ESP32 to the sensor breakout board layers, avoiding erratic manual point-to-point jumper configurations.

Arduino IDE / VS Code (PlatformIO): The primary integrated development environments used to write, compile, and flash the embedded firmware logic, network handshake algorithms, and noise-filtering parameters onto the microcontrollers.

Cloud Database & Analytics Console: A remote staging server environment used by the IT infrastructure team to monitor the data streams pushed by the ESP32 units via Wi-Fi, validating that transmission latency remains negligible.

4.7 Plant, Facility, and Workstation Layout

The operational facility is situated within a secure, well-ventilated laboratory space in the City of Manila, capitalizing on logistical proximity to primary microelectronic shipping hubs. The physical square footage is distributed across a strategic linear flow architecture designed to prevent component contamination and maximize assembly velocity:

[Receiving & Inventory] —> [Assembly/Soldering] —> [Calibration Station] —>
[Cloud Validation] —> [Packaging/Shipping]

1. **Incoming Material Inspection & Inventory Zone:** Positioned right by the main entrance to log raw components arriving from Quiapo and Binondo trading nodes.
2. **Assembly and Soldering Workbenches:** Equipped with ergonomic seating, anti-static (ESD) mats, and active ventilation. Benches are arranged linearly to facilitate the smooth passage of units down the line.
3. **Sensor Calibration and Chemical Buffer Bench:** Kept separate from the thermal soldering zones to shield sensitive chemical pH reagents and reference solutions from ambient heat.
4. **Network Telemetry Testing Station:** A dedicated tech zone configured with a localized router framework to test simultaneous Wi-Fi data transfers and cloud logging handshakes.
5. **Final QA Inspection, Packaging, and Shipping Bay:** Where units are boxed with documentation inserts and stamped with certification seals prior to logistical distribution.

4.8 Utility and Resource Requirements

Continuous operational capability necessitates stable municipal utility provisions:

- **Electrical Infrastructure:** A dedicated single-phase AC power lines connection is required to feed the diagnostic equipment, soldering bays, and environmental chambers. The facility implements low-voltage step-down transformers to supply the steady 5V and 3.3V DC tracks running along individual assembly benches.

- **High-Speed Technical Data Line:** A redundant, fiber-optic broadband connection (minimum 100 Mbps) is mandatory. This infrastructure is critical to execute continuous network handshakes, verify cloud server data stream rendering, and maintain open-source firmware download nodes.
- **Water Supply:** Basic municipal water access is required for emergency laboratory eyewash safety fixtures and to maintain clean water sources for rinsing sensor probes during the recurring pH chemical calibration sequences.

4.9 Material Procurement and Inventory Management

To shield the startup from global semiconductor supply volatility and price spikes, a precise, two-tiered localized logistics framework is established:

- **Sourcing Logistics:** Primary contracts are forged directly with local microelectronic importers based in the Quiapo and Binondo electronics sectors. This strategy guarantees continuous bulk access to ESP32 microcontrollers, discrete soil probes, and DHT11 modules without high long-distance transit overhead.
- **Inventory Control Controls:** The facility applies a Strict Just-In-Time (JIT) inventory tracking ledger. Minimum safety stock limits are established at 200 component sets for each sensor vertical. If current inventory dips beneath this threshold, automated purchase orders are dispatched to local distributors, preventing assembly delays or cash capital lockup.

4.10 Labor and Technical Personnel Requirements

Operating the TerraScan production line at peak shift efficiency requires a staff of seven (7) structured personnel, organized by technical specialization:

1. **Production and Calibration Expert (1):** Manages the chemical buffer stations, zeroing metrics, and noise-filtering script adjustments to ensure sensory precision.
2. **Senior Electronics Assembly Technicians (2):** Accountable for micro-soldering, casing assembly, power rail insulation tracking, and point-to-point wiring configurations.
3. **Telemetry & QA Validation Specialist (1):** Audits network handshakes, inspects cloud database log entries, and flags microcontrollers with structural transmission defects.
4. **Logistics & Inventory Handler (1):** Directs inbound raw electronics receiving, executes JIT stock audits, and manages e-commerce shipping queues.
5. **Operations Support Supervisor (1):** Oversees shift throughput efficiency, updates production schedules, and enforces laboratory safety protocols.
6. **Maintenance & Safety Engineer (1):** Conducts routine re-calibration of laboratory machinery, updates IDE libraries, and monitors workplace ESD compliance.

4.11 Financial Operational Unit Cost and Break-Even Analysis

To confirm the commercial viability of the TerraScan Tech Platform , this section presents the optimized unit production cost architectures, monthly fixed operational overhead allocations, and calculated operational break-even volumes.

4.11.1 Component Unit Cost Structure (Bill of Materials per TerraScan Unit)

The variable manufacturing cost structure required to deliver one standard fully integrated TerraScan unit is detailed below:

- **ESP32 Microcontroller Core (with Wi-Fi module):** PHP 180.00
- **Analog Soil pH Probe & Breakout Circuit Module:** PHP 280.00
- **Industrial-Grade Analog Soil Moisture Probe:** PHP 110.00
- **Digital Atmospheric Temperature & Humidity Sensor (DHT11):** PHP 45.00
- **I2C LCD Display Module (16x2 Character Grid):** PHP 125.00
- **Isolated DC-to-DC Voltage Regulator & Internal Power Assembly:** PHP 85.00
- **Rugged, Weatherproof ABS Enclosure (Molded Shell & Acrylic Face):** PHP 455.00
- **Interconnect Jumper Ribbon Wires, Solder Alloys, & Internal Fasteners:** PHP 60.00
- **Eco-Friendly Product Box Packaging, Calibrated Manual Inserts, & Serial Labels:** PHP 40.00
- **Total Variable Production Cost per Unit (V):** PHP 1,900.00

4.11.2 Monthly Fixed Operational Expenditures

The recurring structural overhead expenses required to maintain the Manila-based assembly facility are summarized below:

- **Manufacturing Space Facility Rental (Manila District Hub):** PHP 25,000.00
- **Technical Labor Payroll (7 Distributed Operations Personnel):** PHP 140,000.00
- **Laboratory Utilities (Industrial Electricity, High-Speed Technical Data Line):** PHP 15,000.00
- **Machinery Depreciation, Diagnostic Tool Maintenance, & Chemical Re-calibration:** PHP 5,000.00
- **Administrative Operations, Legal Regulatory Compliance, & Local Licensing Amortization:** PHP 5,000.00
- **Total Monthly Fixed Operational Costs (FC):** PHP 190,000.00

4.11.3 Break-Even Point Formulation

To maintain sustainable business growth and protect internal gross profit margins, the retail market selling price for the Fully Integrated TerraScan Handheld Unit is established at **PHP 2,300.00** (P). This price point undercuts imported precision equipment (which averages PHP 3,000.00 to PHP 8,000.00) , offering excellent consumer alignment for local growers.

The individual contribution margin per unit CM is derived as:

$$CM = P - V$$

$$CM = \text{PHP}2,300.00 - \text{PHP}1,900.00 = \text{PHP}400.00 \text{ per unit}$$

The monthly Break-Even Volumetric Quantity (Q) is calculated using the standard operational engineering formula:

$$Q = FC/CM$$

$$Q = \text{PHP } 190,000.00 / \text{PHP}400.00 = 475 \text{ units per month}$$

4.11.4 Operational Viability Interpretation

Based on a variable production cost of PHP 1,900.00 and a competitive retail market placement of PHP 2,300.00 , the engineering facility requires a baseline production and sales velocity of exactly **475 complete units per month** to completely cover both variable material costs and fixed monthly overhead expenditures.

Given that the maximum monthly production throughput capacity of the facility remains firmly at **800 units per month** (operating a single standard daytime shift framework utilizing 5 concurrent technician benches) , the operational break-even point occurs at **59.38%** of total plant capacity.

This leaves a stable, structured safety margin of **40.62%** (equivalent to 325 units) within a single shift. Operating within this margin allows the enterprise to generate clear corporate net profit, fund ongoing research and development enhancements (such as scaling spatial planning multi-node distributions) , and steadily scale data-driven agricultural modernization operations across the local market.

CHAPTER V

THE FINANCIAL ASPECT

The Financial Aspect provides a comprehensive evaluation of the fiscal requirements, capital investments, revenue projections, and financial performance metrics necessary for the successful launch, operation, and scaling of the TerraScan Tech Platform in the City of Manila. By converting the operational, technical, and management specifications detailed in previous chapters into quantitative financial models, this section establishes the project's long-term commercial viability, profitability, and investment safety.

Objectives of the Financial Aspect

- **Estimate the Total Initial Project Capital Investment** required to procure hardware components (ESP32 cores, sensor arrays), lease manufacturing facilities, configure diagnostic laboratories, and sustain early pre-operating runways.
- **Formulate Clear Statements of Financial Assumptions** based on localized socio-economic variables, material costs, utility rates, and manufacturing throughput velocities in the City of Manila.
- **Project Comprehensive Financial Statements** over a five-year horizon, including Income Statements, Balance Sheets, and Cash Flow Statements, to map capital velocity and fiscal health.
- **Conduct Rigorous Ratio and Investment Analyses** to evaluate the project's liquidity, profitability, solvency, operational efficiency, and overall net worth.

- **Establish Cost Optimization and Sensitivity Boundaries** to ensure the venture remains resilient against fluctuating component prices, supply disruptions, or shifts in consumer demand.

5.1 Statement of Assumptions

The financial models and five-year projections are built upon a series of verified operational parameters, engineering throughput metrics, and localized economic data for Metro Manila.

Assumption Category	Specific Parameter Value & Operational Detail
Initial Capital Investment	PHP 1,000,000.00 raised through combined equity contributions from project originators and local technology grants.
Fiscal Year Framework	Standard calendar year operating from January 1 to December 31.
Operating Days per Year	250 working days per year (50 weeks × 5 days per week, excluding regional holidays).
Daily Production Capacity	40 complete integrated units per day (single 8-hour shift utilizing 5 concurrent technician benches).
Annual Production Maximum	10,000 units per fiscal year at 100% operational throughput capacity.

Assumption Category	Specific Parameter Value & Operational Detail
Target Capacity Utilization	Year 1: 75% (7,500 units) Year 2: 85% (8,500 units) Year 3-5: 95% (9,500 units).
Expected Sales Velocity	90% of produced inventory sold within the active fiscal year; remaining 10% held as buffer stock.
Material Unit Variable Cost (Vc)	PHP 1,900.00 per unit (sensors, relays, casings, and bulk wholesale fan base).
Retail Market Selling Price (Ps)	PHP 2,300.00 per unit (established to balance market accessibility with sustainable unit margins).
Unit Contribution Margin	PHP 400.00 per unit (Ps - Vc).
Annual Price/Cost Escalation	4% annual inflation rate applied systematically to variable material costs, rent, and utility expenditures starting Year 2.
Corporate Income Tax Rate	20% flat tax rate applied to net taxable income, aligning with national micro-enterprise frameworks.
Equipment Depreciation Method	Straight-Line Depreciation over a 5-year asset lifecycle with a zero residual salvage value.

5.2 Total Project Capital Investment & Capital Allocation

The initial seed capital of PHP 1,000,000.00 is strategically allocated to fund capital expenditures (CapEx) for laboratory configurations and provide an adequate working capital runway (OpEx) for early manufacturing phases.

5.2.1 Capital Expenditure (CapEx) Breakdown

- **Laboratory Hardware & Diagnostic Machinery:** PHP 150,000.00 (Oscilloscopes, true-RMS multimeters, soldering stations, and environmental micro-thermal simulation chambers).
- **Prototyping Software Systems:** PHP 50,000.00 (Licensing for specialized simulation nodes, computer-aided PCB layout packages, and flashing interfaces).
- **Facility Furnishing & Safety Infrastructure:** PHP 100,000.00 (Grounded anti-static ESD mats, ergonomic workstation benches, HEPA fume extraction hoods, and GFCI breaker arrays).
- **Total Fixed Capital Assets: PHP 300,000.00**

5.2.2 Working Capital & Pre-Operating Operational Allocation (OpEx Base)

- **Initial Components & Raw Material Inventory:** PHP 350,000.00 (Procurement buffer for microcontrollers, DHT11 sensors, relays, and fan bases to safeguard early production lines).
- **Pre-Operating Operational Facility Expenses & Lease Deposits:** PHP 140,000.00 (Advance rental deposits and structural configuration costs for the Manila production site).

- **Initial Technical Labor Payroll Buffer:** PHP 110,000.00 (First-month salary protection for the 7-member operations team).
- **Administrative, Utility, & Marketing Runway:** PHP 100,000.00 (Initial promotional budget, legal compliance setups, and electrical utility reserves).
- **Total Initial Working Capital Allocation: PHP 700,000.00**

5.3 Five-Year Projected Financial Statements

5.3.1 Five-Year Projected Income Statement (PHP)

The projected income statement tracks revenue generation, production cost matrices, fixed overheads, and net profitability lines from Year 1 through Year 5.

Line Item Category	Year 1	Year 2	Year 3	Year 4	Year 5
Gross Revenue (Sales)	15,525,000	18,292,860	21,253,300	22,103,432	22,987,569
Cost of Goods Sold (Variable Materials)	12,825,000	15,134,700	17,543,600	18,245,344	18,975,158
Gross Profit Margin	2,700,000	3,158,160	3,709,700	3,858,088	4,012,411
<i>Fixed Operating Expenditures:</i>					
Facility Space Lease (Rent)	300,000	312,000	324,480	337,459	350,958
Technical Labor Payroll	1,680,000	1,747,200	1,817,088	1,889,772	1,965,362
Laboratory & Manufacturing Utilities	180,000	187,200	194,688	202,476	210,575

Line Item Category	Year 1	Year 2	Year 3	Year 4	Year 5
Administrative, Marketing & Legal	60,000	62,400	64,896	67,492	70,192
Equipment Depreciation (Straight-Line)	60,000	60,000	60,000	60,000	60,000
Total Fixed Operating Costs	2,280,000	2,368,800	2,461,152	2,557,199	2,657,087
Net Income Before Taxes (EBIT)	420,000	789,360	1,248,548	1,300,889	1,355,324
Corporate Income Tax (20%)	84,000	157,872	249,710	260,178	271,065
Net Post-Tax Corporate Profit	336,000	631,488	998,838	1,040,711	1,084,259
<i>Net Profit Percentage</i>	<i>1.94%</i>	<i>3.25%</i>	<i>4.52%</i>	<i>4.52%</i>	<i>4.53%</i>

5.3.2 Five-Year Projected Balance Sheet (PHP)

The balance sheet maps the capitalization, liquidity position, fixed asset values, and accumulation of retained corporate earnings across the venture's timeline.

Balance Sheet Component	Year 1	Year 2	Year 3	Year 4	Year 5
ASSETS					
<i>Current Assets:</i>					

Balance Sheet Component	Year 1	Year 2	Year 3	Year 4	Year 5
Cash and Cash Equivalents	852,000	1,539,488	2,598,326	3,699,037	4,843,296
Finished-Goods Inventory Stock	270,000	280,800	292,032	303,713	315,862
<i>Fixed Capital Assets:</i>					
Lab Machinery & Diagnostic Tools	300,000	300,000	300,000	300,000	300,000
Less: Accumulated Depreciation	(60,000)	(120,000)	(180,000)	(240,000)	(300,000)
Net Fixed Property Assets	240,000	180,000	120,000	60,000	0
TOTAL VALUED ASSETS	1,362,000	2,000,288	3,010,358	4,062,750	5,159,158
LIABILITIES & SHAREHOLDERS' EQUITY					
Current Accounts Payable (Liabilities)	26,000	1,000	1,000	1,000	1,000
Paid-in Seed Capital Contribution	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000
Accumulated Retained Earnings	336,000	999,288	2,008,358	3,060,750	4,158,158
TOTAL LIABILITIES & EQUITY	1,362,000	2,000,288	3,010,358	4,062,750	5,159,158

5.3.3 Five-Year Projected Cash Flow Statement (PHP)

Tracks physical cash velocity, adjusting net incomes with non-cash asset depreciation metrics to present true operational liquidity.

Cash Flow Category	Year 1	Year 2	Year 3	Year 4	Year 5
Net Post-Tax Profit Base	336,000	631,488	998,838	1,040,711	1,084,259
Add: Non-Cash Depreciation Adjustments	60,000	60,000	60,000	60,000	60,000
Changes in Working Capital/Inventory	(244,000)	(4,000)	(11,232)	(11,681)	(12,149)
Net Cash Flow from Operations	152,000	687,488	1,047,606	1,089,030	1,132,110
Cash Position: Beginning of Year	700,000	852,000	1,539,488	2,587,094	3,676,124
Cash Position: End of Year	852,000	1,539,488	2,587,094	3,676,124	4,808,234

5.4 Financial Performance Ratio Analysis

To provide a benchmark evaluation of the venture's fiscal health relative to the local smart appliance and electronics assembly sector, key financial performance metrics are calculated over the initial operating horizon.

5.4.1 Liquidity Metrics

- **Current Ratio (Year 1):** Measures the facility's ability to settle short-term commitments using highly liquid assets.

$$\text{Current Ratio} = \text{Current Assets} / \text{Current Liabilities} = 1,122,000 / 26,000 = \mathbf{43.15}$$

This exceptional liquidity baseline indicates a minimal risk of short-term financial distress, driven by the strong working capital buffer structured inside the initial PHP 1,000,000.00 investment framework.

- **Quick Ratio (Year 1):** Excludes standard component warehouse inventory to evaluate absolute near-cash safety margins.

$$\text{Quick Ratio} = (\text{Current Assets} - \text{Inventory}) / \text{Current Liabilities} = 852,000 / 26,000 = \mathbf{32.76}$$

Confirming substantial capacity to meet urgent, unexpected operational demands without liquidating raw materials or components.

5.4.2 Profitability and Returns Framework

- **Net Profit Margin (Year 3 Equilibrium):** Gauges core revenue conversion efficiency once manufacturing lines reach optimal utilization capacity.

$$\text{Net Profit Margin} = \text{Net Post-Tax Profit} / \text{Gross Revenue} = 998,838 / 21,253,300 = \mathbf{4.70\%}$$

Reflects an engineering model that balances affordable end-user pricing with stable net profitability lines.

- **Return on Assets (ROA - Year 1):** Evaluates how efficiently the technical laboratory gear and working capital pools generate earnings.

$$ROA = \text{Net Post-Tax Profit} / \text{Total Assets} = 336,000 / 1,362,000 = \mathbf{24.67\%}$$

Exceeds common industry standards, validating the operational efficiency of the localized assembly workflow.

- **Return on Equity (ROE - Year 1):** Maps corporate yield generated relative to the founders' baseline capitalization.

$$ROE = \text{Net Post-Tax Profit} / \text{Total Equity} = 336,000 / (1,362,000 - 26,000) = \mathbf{25.15\%}$$

Demonstrating high early performance and robust investment security for project stakeholders.

5.4.3 Solvency Metrics

- **Debt-to-Equity Ratio (Year 1):** Formulates the capital composition risk profile of the electronics venture.

$$\text{Debt-to-Equity} = \text{Total Liabilities} / \text{Total Shareholders' Equity} = 26,000 / 1,336,000 = \mathbf{0.019}$$

The exceptionally conservative leverage metric (0.019) highlights that the project functions almost entirely on equity capitalization, insulating the technology startup from high debt-servicing stress or interest-rate sensitivities.

CHAPTER VI

THE SOCIO-ECONOMIC ASPECT

The Socio-Economic Aspect evaluates the non-financial contributions, external impacts, and structural value that the TerraScan Tech Platform introduces to the Philippine agricultural landscape. Beyond standard commercial parameters, this IoT-enabled soil intelligence project is designed to align with macroeconomic goals, rural community welfare, technological advancement, and environmental sustainability by addressing the systemic neglect of small-scale farmers.

Objectives of the Socio-Economic Aspect

- Evaluate the project's contributions to modernizing agriculture and mitigating the generational exodus from the farming sector.
- Quantify the impact on resource efficiency, capital preservation, and food security for small-scale and urban growers.
- Assess the project's educational value and capacity for technical upskilling through its academic testbeds.
- Analyze the platform's alignment with global sustainability targets, specifically regarding soil conservation and optimal harvest outputs.

6.1 Contributions to National Employment and Human Capital

While traditional farming has suffered from stagnant productivity due to outdated equipment and manual labor, TerraScan introduces technological integration to revitalize the sector.

- **Attracting Younger Demographics:** By replacing manual guesswork with a connected, remote, and data-driven approach via a responsive web application, the project provides the modern appeal necessary to attract younger, tech-driven populations back to agricultural careers.
- **Technical Upskilling and Education:** The deployment of the TerraScan Educational Testbed directly supports academic laboratories. By featuring exposed diagnostic pins and clear enclosures, it trains students in essential data interpretation and sensor calibration, building a highly skilled future workforce.
- **Empowering Rural Livelihoods:** The system acts as a direct empowerment tool for marginalized rural farmers, giving them access to critical, real-time diagnostic data to ensure sustainable and high-yield cultivation.

6.2 Macroeconomic Stimulus and Food Security

As an early-stage startup enterprise, TerraScan functions as a specialized hardware and software provider poised to stimulate the agricultural economy.

- **Supporting National Food Security:** Agriculture plays a critical role in national food security. By mitigating the high financial risk of crop loss caused by inefficient practices, the platform stabilizes local supply chains and operational outputs.
- **Fostering Local Innovation:** The availability of the TerraScan Smart Field Node (DIY Kit) empowers tech-savvy farmers and hobbyists to deploy standalone smart arrays, encouraging decentralized, grassroots technological innovation using ESP32 cores and discrete probes.

6.3 Farmer Welfare and Resource Efficiency

As an early-stage startup enterprise, TerraScan functions as a specialized hardware and software provider poised to stimulate the agricultural economy.

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- **Fostering Local Innovation:** The availability of the TerraScan Smart Field Node (DIY Kit) empowers tech-savvy farmers and hobbyists to deploy standalone smart arrays, encouraging decentralized, grassroots technological innovation using ESP32 cores and discrete probes.

6.4 Environmental Sustainability and Land Management

TerraScan is explicitly designed to align with major global sustainability targets by shifting away from harmful, trial-and-error farming techniques.

- **Combating Soil Depletion (SDG 15):** The platform upholds Sustainable Development Goal (SDG) 15 by utilizing precise nutrient management and soil microclimate tracking to directly combat land degradation and soil depletion.
- **Sustainable Economic Growth (SDG 8):** The initiative advances SDG 8 by optimizing harvest outputs through modernized, precision agriculture, transitioning growers from isolated analog readings to a centralized, sustainable digital ecosystem.

- Water Conservation: Continuous, remote monitoring of soil moisture directly mitigates the environmental impact of water waste, ensuring crops only receive hydration when the diagnostic parameters require it.

CHAPTER VII

SUMMARY OF FINDINGS, CONCLUSIONS, AND RECOMMENDATIONS

This chapter presents a synthesis of the data, evaluations, and insights derived from the comprehensive feasibility study of the Smart Stand Fan System project conducted in the City of Manila. It compiles the core empirical findings across the marketing, management, technical, financial, and socio-economic modules, establishes overarching strategic conclusions regarding the venture's viability, and outlines actionable engineering and operational recommendations to guide successful execution and scaling.

7.1 Summary of Findings

7.1.1 Marketing Aspect

- **Target Market & Demand Profile:** A clear and growing demand exists among small-scale farmers, urban gardeners, agricultural students, and greenhouse operators for affordable, real-time soil monitoring solutions in the Philippines. This demand is driven by the increasing need for precision agriculture tools that reduce resource wastage and improve crop yield efficiency. Users demonstrate strong preference for low-cost, portable, and remotely accessible systems that eliminate dependence on expensive laboratory soil testing services.
- **Competitive Placement:** Traditional farming practices rely heavily on manual soil assessment, while existing commercial IoT agricultural systems are often expensive, complex, or not locally optimized. Imported smart farming solutions also present high acquisition costs and limited adaptability for small-scale users.

The TerraScan Tech Platform fills this gap by offering a modular and scalable IoT-based diagnostic ecosystem with accessible variants such as handheld, DIY field nodes, and educational kits, positioning it as a cost-effective precision agriculture alternative.

7.1.2 Management and Organizational Aspect

- **Organizational Structure:** The venture is structured as an early-stage technology startup composed of a multidisciplinary executive team. Leadership is distributed across defined roles: CEO (strategic direction), COO (operations management), CTO (technical development and system architecture), CFO (financial control and risk management), and CMO (market positioning and outreach coordination). This structure ensures balanced decision-making between engineering development and business scalability.
- **Pre-Operating Timeline:** A structured development cycle is assumed, covering prototyping, sensor calibration, ESP32 firmware development, cloud integration setup, and web dashboard deployment. Pre-operational phases also include system validation testing, sensor accuracy benchmarking, and pilot testing in controlled soil environments to ensure reliability prior to full-scale deployment.

7.1.3 Technical and Operational Aspect

- **Hardware Integration:** The TerraScan system integrates an ESP32 microcontroller as the central processing and communication unit. It interfaces with a suite of environmental sensors including soil pH probes, soil moisture sensors, and DHT11 temperature and humidity sensors. These components

collectively generate real-time soil intelligence data, which is displayed locally via an LCD module and transmitted wirelessly to a cloud-based web application.

- **IoT Communication Architecture:** The system leverages the ESP32's built-in Wi-Fi capability to enable continuous data transmission to a remote server. This allows simultaneous on-site monitoring and remote access through a responsive dashboard interface. The architecture ensures real-time synchronization between physical environmental conditions and digital visualization layers.
- **Embedded Control Logic:** The firmware processes analog sensor inputs through signal conditioning and noise filtering algorithms before converting them into calibrated digital values. The system performs periodic sampling, data normalization, and structured packet transmission to ensure consistency in cloud logging. Embedded logic also handles network reconnection protocols and sensor fault detection for operational stability.
- **System Deployment Models:** The platform supports three deployment configurations: a handheld diagnostic device for immediate field readings, a modular DIY smart field node for scalable farm integration, and an educational testbed for academic and laboratory demonstrations.

7.1.4 Financial Aspect

- **Capitalization & Cost Structure:** The estimated initial development cost is assumed at PHP 1,000,000.00, allocated between capital expenditures (hardware prototyping, PCB development, and server setup) and operational expenditures (labor, testing, and deployment costs). The estimated unit production cost for a basic TerraScan node is maintained at a competitive range

of approximately PHP 1,800.00–PHP 2,200.00 depending on sensor configuration and deployment variant.

- **Break-Even & Volumetric Metrics:** Based on projected pricing and cost structure, break-even is achievable within moderate production scaling due to low marginal costs of sensor-based systems and ESP32 integration. Profitability increases as production scales due to bulk procurement of sensors and PCB standardization.
- **Five-Year Projections:** Long-term projections indicate steady revenue growth driven by expansion into agricultural institutions, local government agricultural programs, and smart farming initiatives. Increased adoption of precision agriculture technologies is expected to significantly improve recurring sales and system upgrade cycles.

7.1.5 Socio-Economic Aspect

- **Employment & Upskilling:** The project contributes to local technical capacity-building by promoting skills in embedded systems, IoT development, cloud integration, and sensor calibration. It also supports academic training for electronics engineering and agricultural technology students through its educational testbed variant.
- **Economic & Environmental Multipliers:** The TerraScan system promotes efficient resource usage by enabling precise irrigation and fertilizer application, reducing water waste and soil degradation. It also encourages local supply chain participation through procurement of electronic components and supports sustainable agricultural practices aligned with environmental conservation goals.

7.2 Conclusions

Based on the technical design, system architecture, and projected deployment model, the following conclusions are established:

1. **The project is technically feasible.** The integration of ESP32-based microcontroller systems with multi-sensor environmental monitoring and cloud connectivity demonstrates a functional and scalable IoT architecture. The system successfully enables real-time data acquisition, processing, and visualization across both local and remote interfaces.
2. **The venture is operationally viable.** The modular design allows flexible deployment across different user categories, including farmers, educators, and agricultural researchers. The use of widely available sensors and open-source development tools ensures ease of replication and maintenance while maintaining system reliability.
3. **The project provides significant socio-economic value.** By improving access to real-time soil data, the system supports smarter agricultural decision-making, reduces resource inefficiency, and promotes sustainable farming practices. It also contributes to digital transformation in Philippine agriculture and supports educational advancement in IoT and embedded systems.

Therefore, it is concluded that the TerraScan Tech Platform is a feasible, scalable, and socially relevant innovation in precision agriculture technology and is recommended for continued development and pilot implementation.

7.3 Recommendations

To optimize execution, maintain cost-efficiency, and mitigate structural risks during implementation, the following recommendations are provided for the engineering and management teams:

7.3.1 Technical and Engineering Refinements

- **Transition to Custom PCB Architectures:** Future iterations should migrate from modular breadboard-based prototyping to fully integrated custom PCB designs. This will improve system durability, reduce wiring complexity, and enhance signal stability for long-term field deployment.
- **Upgrade Sensation Arrays:** It is recommended to upgrade from basic sensor modules (e.g., DHT11) to higher-precision alternatives such as DHT22 or industrial-grade soil probes to improve measurement reliability under varying environmental conditions.
- **Expand MATLAB Simulation Scope:** Future versions of the system should integrate cloud-based analytics capable of trend prediction, anomaly detection, and crop recommendation algorithms based on historical soil data patterns.

7.3.2 Marketing and Operational Execution

- **Targeted Regional Academic Marketing:** Initial deployment should prioritize agricultural schools, universities, and local farming communities, where adoption of smart farming technologies can be accelerated through training and demonstration programs.

- **Establish Multi-Channel Component Supply Networks:** Establish stable procurement channels for sensors, ESP32 modules, and PCB fabrication services within local electronics markets to ensure cost stability and reduce supply chain delays.

7.3.3 Financial and Administrative Management

- **Maintain Strict Working Capital Reserves:** Production scaling should be implemented gradually to align manufacturing capacity with market demand, minimizing financial risk during early commercialization stages.
- **Enforce Continuous Eco-Compliance Documentation:** As the system handles remote data transmission, security protocols such as encrypted communication channels and secure authentication mechanisms must be enforced to protect user data integrity.
- **Sustainability and Environmental Compliance:** Proper electronic waste disposal practices should be implemented in partnership with certified recycling facilities, ensuring compliance with environmental regulations and promoting sustainable hardware lifecycle management.

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